(12) Income Taxes

The components of income tax expense (benefit) are as follows:

	Year Ended June 30,		
	2006	2005	2004
		(In thousands)	
Current tax expense (benefit):			
Federal	$15,755	$(4,179)	$12,791
State	1,391	902	854
	17,146	(3,277)	13,645
Deferred tax expense (benefit):			
Federal	(9,584)	(25)	(1,580)
State	(154)	(44)	(399)
	(9,738)	(69)	(1,979)
Total income tax expense (benefit)	$ 7,408	$(3,346)	$11,666

Table of Contents

The following table presents a reconciliation between the actual income tax expense (benefit) and the "expected" amount computed using the applicable statutory federal income tax rate of 35% as follows:

	Year Ended June 30,		
	2006	2005	2004
		(In thousands)	
"Expected" federal income tax expense (benefit)	$7,848	$(2,271)	$11,026
State tax, net	804	558	295
Bank owned life insurance	(936)	(1,392)	(351)
Change in valuation allowance for deferred tax assets	—	401	1,083
Dividend received deduction	(447)	(435)	(343)
Other	139	(207)	(44)
Total income tax expense (benefit)	$7,408	$(3,346)	$11,666

The temporary differences which comprise the deferred tax asset and liability are as follows:

	June 30,	
	2006	2005
	(In thousands)	
Deferred tax asset:		
Employee benefits	$ 7,062	$ 6,623
Minimum pension liability	245	734
Deferred compensation	1,378	1,198
State net operating loss carryforwards	10,676	8,604
Allowance for delinquent interest	167	311
Intangible assets	1,890	2,353
Allowance for loan losses	2,059	1,784
Net unrealized loss on securities available-for-sale	7,203	1,404
New Jersey alternative minimum assessment	4,230	3,249
Capital losses on equity securities	1,732	1,732
Contribution to charitable foundation	8,513	—
Federal NOL carryover	869	—
ESOP shares allocated	652	—
Other	1,249	524
Gross deferred tax asset	47,925	28,516
Valuation allowance	(17,841)	(13,585)
	30,084	14,931
Deferred tax liability:		
Discount accretion	443	558
Premises and equipment, differences in depreciation	427	663
Undistributed income of real estate investment trust subsidiary	—	582
ESOP loan amortization	1,038	—
Gross deferred tax liability	1,908	1,803
Net deferred tax asset	$ 28,176	$ 13,128

Table of Contents

In assessing the realizability of the deferred tax asset, management considers whether it is more likely than not that some portion or all of the deferred tax asset will not be realized. The ultimate realization of deferred tax asset is dependent upon the generation of future taxable income during the periods in which those temporary differences become deductible. At June 30, 2006 and 2005, the Company also has state net operating loss carryforwards of approximately $119,000,000 and $96,000,000, respectively. Based upon projections of future taxable income for the periods in which the temporary differences are expected to be deductible, management believes it is more likely than not the Company will realize the deferred tax asset, net of the existing valuation allowances. The increases in the total valuation allowance during the years ended June 30, 2006, 2005, and 2004 were $4,256,000, $7,184,000 and $3,594,000, respectively. These amounts relate to state net operating loss carryfowards and minimum assessments, capital losses on equity securities, as well as the state tax benefit related to the contribution to the charitable foundation for which tax benefits are not more likely than not to be realized.

Retained earnings at June 30, 2006 included approximately $36,528,000 for which deferred income taxes of approximately $14,900,000 have not been provided. The retained earnings amount represents the base year allocation of income to bad debt deductions for tax purposes only. Base year reserves are subject to recapture if the Bank makes certain non-dividend distributions, repurchases any of its stock, pays dividends in excess of tax earnings and profits, or ceases to maintain a bank charter. Under Statement of Financial Accounting Standards

No. 109, this amount is treated as a permanent difference and deferred taxes are not recognized unless it appears that it will be reduced and result in taxable income in the foreseeable future. Events that would result in taxation of these reserves include failure to qualify as a bank for tax purposes or distributions in complete or partial liquidation.